Terms Implied in Law

English contract law | Study guide | Default obligations, necessity and statutory terms

A lease gives a tenant a flat on an upper floor but says little about the common stairs and lifts. Who must look after them? An obligation can form part of a contract because the law attaches it to that kind of relationship.

1. Start with the type of contract

Identify the category and its relevant features. In a multi-occupancy building, a landlord may retain control of shared facilities on which tenants depend. Implication in law at common law asks whether a term is a necessary incident of the relationship so defined. An established term applies to contracts of that type, subject to any effective modification.

2. Explain why the term is necessary

Show what the relationship requires and why the proposed obligation belongs to that class of contract. Control of the facilities, dependence on access and the practical allocation of responsibility can matter. The law may protect a party who cannot perform the task themselves. A term’s desirability alone is insufficient.

3. State the duty precisely

Identify who owes the duty, what it covers and the standard required. In *Liverpool City Council v Irwin*, reasonable care for common facilities was the relevant standard. The difference between that duty and an absolute guarantee of uninterrupted operation matters when assessing breach.

4. Distinguish source, scope and breach

First identify the source of the term and its scope. Read any express terms and check whether a statute restricts exclusion. Then compare the required standard with the evidence of what the party actually did. The existence of a term and its breach are separate questions.

> Legal English | **A necessary incident of the relationship** means an obligation the law treats as a necessary feature of that class of contract.

Liverpool City Council v Irwin

1. The facilities and who controlled them

Tenants in a Liverpool tower block depended on lifts, stairways and rubbish chutes. The local authority retained control of the common parts. The tenancy documents did not state the full extent of the landlord's obligations. The tenants relied on an implied obligation in their counterclaim.

2. The reasoning in the House of Lords

An obligation concerning the shared facilities was necessary given the nature of this tenancy. Tenants needed the facilities to use their homes, while control remained with the landlord. The House of Lords implied a duty to take reasonable care to keep the common parts in reasonable repair and usability. Mere reasonableness of adding a term was insufficient.

3. Outcome | The duty existed and breach was unproved

The tenants failed to establish breach of the implied duty on the evidence. Disrepair and interruptions were relevant. The court also considered the landlord's response and the difficulties caused by vandalism. A breakdown can occur even where the landlord took reasonable care.

4. Another class of relationship | Scally

In *Scally*, the House of Lords recognised a narrowly framed employer's duty to inform staff of a valuable pension benefit in collectively negotiated terms. Employees needed to act to obtain it and could not reasonably be expected to know about it. The features of the relationship defined the duty.

> Case reading | In *Irwin*, distinguish why a duty arose from why the tenants failed to prove it was broken. Those are different parts of the decision.

Three Ways a Term Can Enter a Contract

1. Implication in fact | This particular bargain

Interpret the express terms first. Under *Marks and Spencer v BNP Paribas*, a term may be implied in fact where it is needed for the contract's business efficacy or so obvious that it goes without saying. A fair or convenient addition is insufficient. The proposed term must be capable of clear expression and consistent with the express bargain.

The *officious bystander* asks whether both parties would have treated the term as obvious if it had been suggested at formation.

2. Implication in law | A class of contract

Identify the class, the legal authority and the content of the established duty. A common-law default may yield to an effective express provision. Read the clause carefully and check for mandatory protections before concluding that it displaces the default.

3. Statutory implication | The legislation supplies the term

Section 11 of the Landlord and Tenant Act 1985 imposes repair obligations in qualifying residential leases, including for the structure and exterior and for specified installations. Sections 12 to 14 address exclusion and coverage. Check the statutory language and facts. The common-law obligation in *Irwin* has its own source.

4. A second statutory example | Consumer services

Under section 49 of the Consumer Rights Act 2015, a trader's contract to supply services to a consumer is treated as including a term to exercise reasonable care and skill. Section 57 prevents exclusion of liability under section 49 and regulates restrictions. Check whether the contract falls within the Act and what the proposed clause would do.

> Exam method | Label the source before choosing the test. For statute, identify the section and its scope. For common law, say whether the proposed term concerns this bargain or contracts of this type.

Worked Problem and Sources

The lift and the leaking wall

A tenant lives on the ninth floor of a residential block. The landlord alone controls the common lift. The lease says that uninterrupted operation is not guaranteed. The landlord receives repeated reports of lift failures but leaves a recommended repair unactioned for six weeks. Water is also entering the flat through a deteriorating exterior wall. Assume section 11 of the 1985 Act applies to the lease and the wall falls within its scope. What duties should the tenant consider?

Model analysis

Lift. The relationship and the landlord's control point to the *Irwin* duty of reasonable care. The clause addresses uninterrupted operation. On its wording it need not displace a duty to take reasonable care. The repeated reports and unaddressed recommendation support breach, subject to evidence about what response was reasonable.

Exterior wall. Consider the separate repairing obligation under section 11. Check what the landlord was told, when it had an opportunity to act and whether any purported exclusion is effective under section 12.

Evidence. Compare service logs, the engineer's recommendation and the dates of notice. These show what the landlord could reasonably do and when.

> Variation | The landlord promptly obtains parts and arranges a reasonable repair, but the lift is out of service for several days. The outage alone does not establish breach of the common-law duty.

Selected cases and legislation

Liverpool City Council v Irwin [1977] AC 239 | Common parts
Scally v Southern Health and Social Services Board [1992] 1 AC 294 | Employer's duty to inform
Marks and Spencer plc v BNP Paribas [2015] UKSC 72 | Implication in fact
Barton v Morris [2023] UKSC 3, paras 41–49 | Sources and express terms
Landlord and Tenant Act 1985 s 11 | Repairing duties
Landlord and Tenant Act 1985 ss 12–14 | Exclusion and coverage
Consumer Rights Act 2015 s 49 | Care and skill
Consumer Rights Act 2015 s 57 | Exclusion of liability